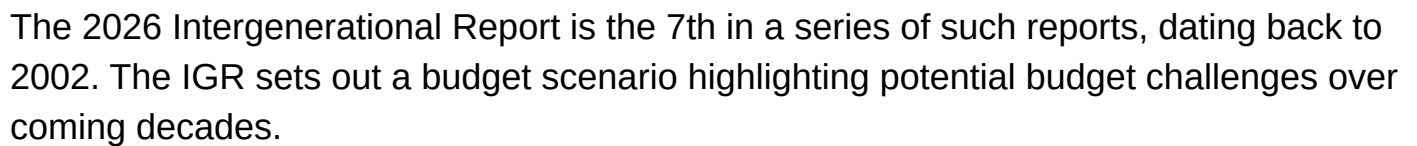




#confidence



18:21 September 21 2026



The familiar theme is that Australia's ageing population will put upward pressure on expenditures and downward pressure on revenues, creating a budget challenge.

In the 2026 edition, several forces are identified as continuing to shape Australia's economy over the coming decades: the artificial intelligence revolution; geopolitical fragmentation; energy transition; ageing and the care economy; and Australia's industrial transformation.

Below are the five key themes that stood out in this year's IGR: AI to be a game-changer for productivity; Australians will live longer; NDIS reforms are crucial to budget sustainability, but knock on to state budgets; Bracket creep has its limits, and future spending will need to be funded elsewhere; and Higher costs of capital here to stay.

1. AI to be a game-changer for productivity

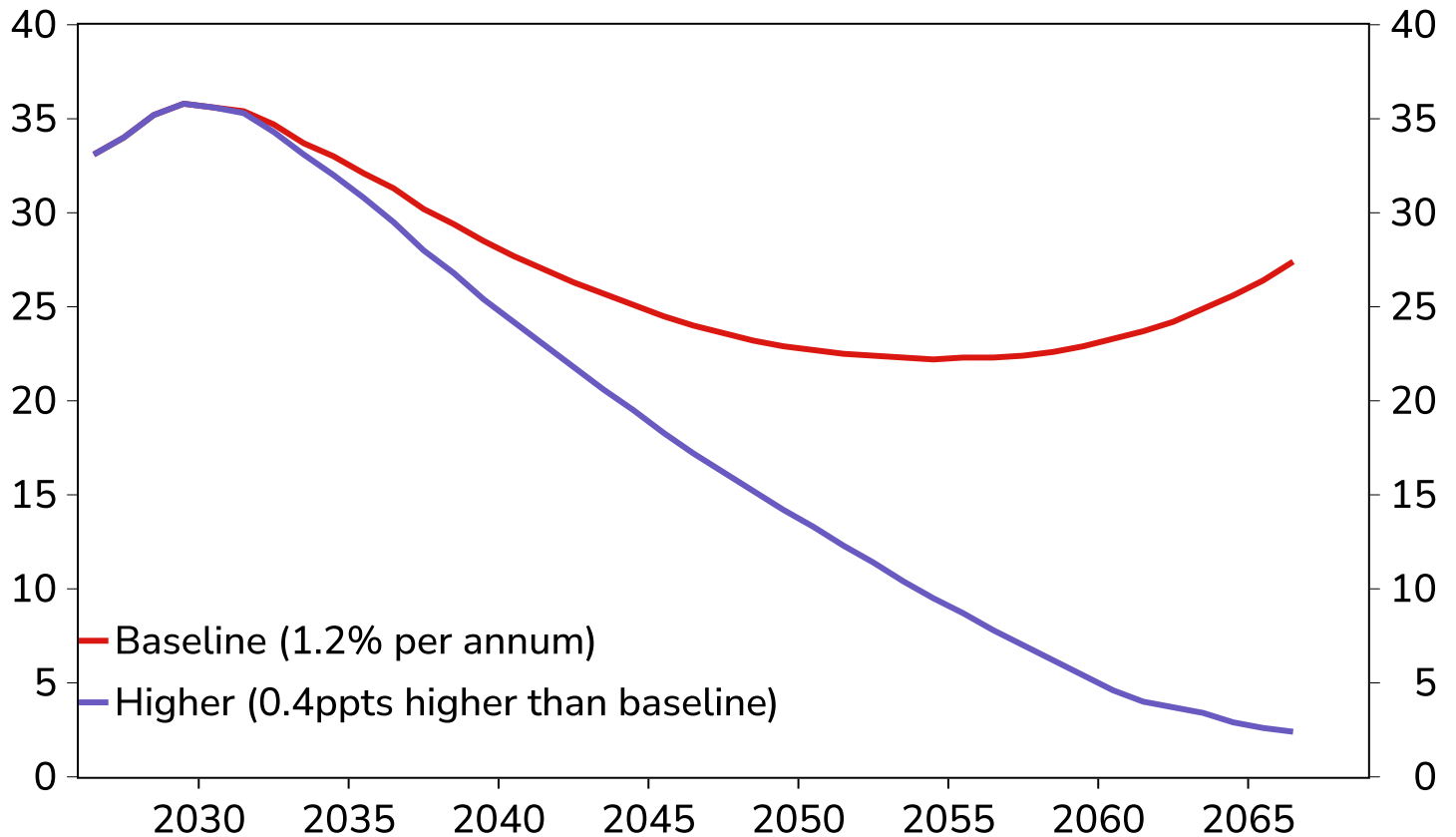
The IGR identifies AI as having the potential to be a game-changer for productivity growth. We agree and have written extensively about the [data centre and renewable energy investment surge](#). This investment will boost value added and jobs in the near term. However, the real payoff will come when the technology is widely adopted and businesses redesign processes to get the most out of AI.

The ultimate gains are difficult to estimate, in part because of the speed of development in the technology. Another reason is that technological change at this scale does not simply augment or automate existing roles but creates new roles, services and goods. The Productivity Commission estimates that AI could boost multifactor productivity in Australia by at least 2.3 per cent over the next decade, but this estimate was published in December, before the step-change in model capability we saw early this year.

The IGR shows that productivity matters for the budget: productivity growth 0.4ppt higher than the assumed 1.2% per year would reduce gross debt by 25ppts of GDP in 2065–66. Of course, this assumes that fiscal policy does not respond to the faster trend growth that implies.

Impact of productivity on gross debt

% of GDP



Source: 2026 IGR, Macrobond, Westpac Economics

2. Australians will live longer

The IGR projects that life expectancy will continue to increase to 86.1 for males and 89.5 for females by 2065, around five years longer than today. This presents both opportunities and challenges.

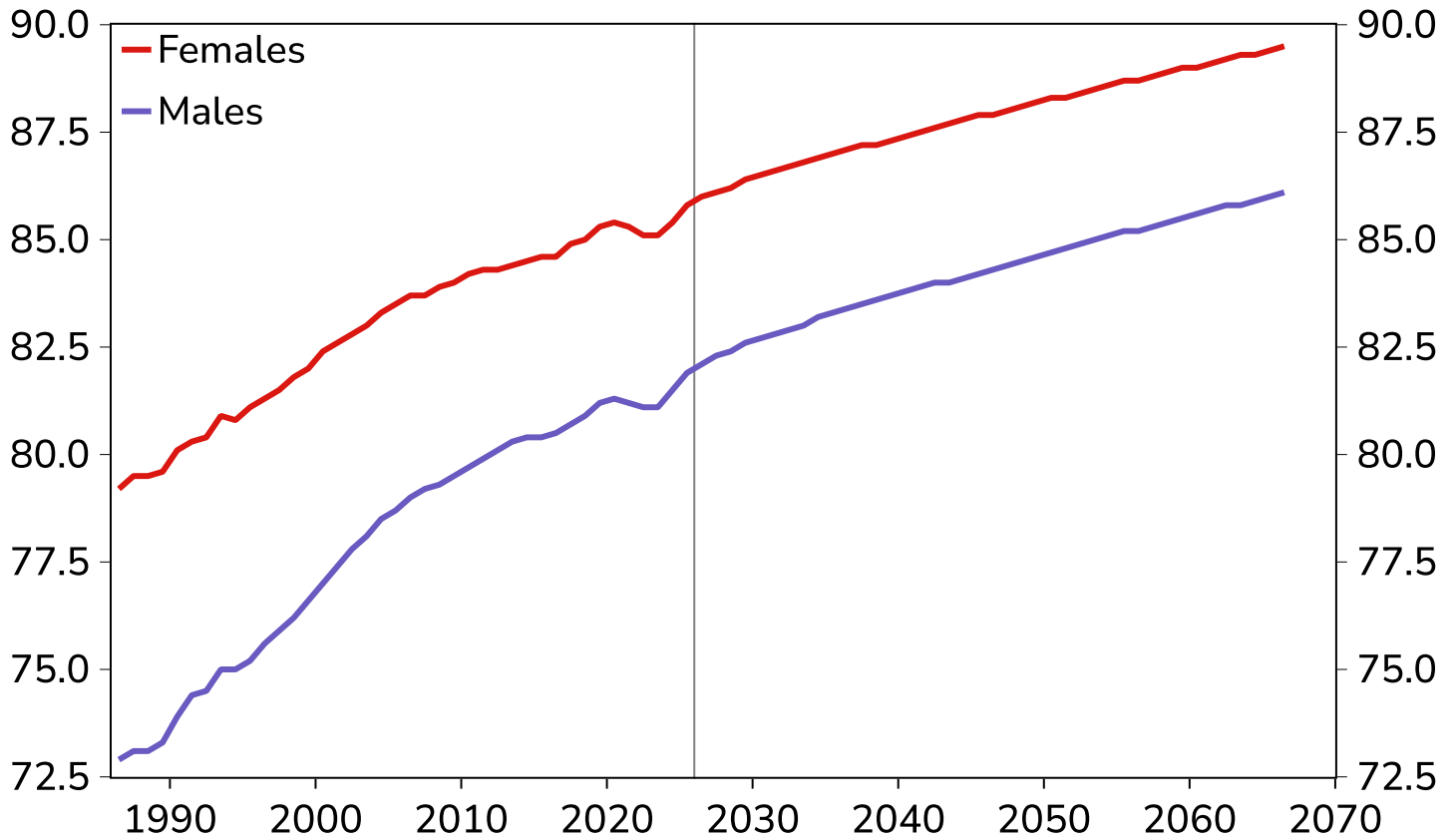
Older Australians are remaining in the workforce for longer, boosting labour supply and economic activity. At the same time, rising demand for health, aged care and pension spending will place increasing pressure on government budgets.

This is one area where AI, along with governance changes, could deliver outsized benefits. While an ageing population will increase demand for government services, productivity-enhancing technologies can improve service delivery and support prevention.

We know that the non-market sector (including health care, education and public administration) is the largest it has ever been, with the expansion mainly driven by health services. Notwithstanding measurement issues, we know that productivity levels in this sector has declined recently. Greater use of evidence-based practice, preventive care, and AI-enabled technologies in health and aged care could help improve productivity across this rapidly expanding part of the economy.

Life expectancy at birth

Years



Source: 2026 IGR, Macrobond, Westpac Economics

Demographic change will increase reliance on a smaller share of the population to fund the health, aged care and other services required by a growing number of older Australians. We know that the average fiscal contribution of an individual becomes negative later in life as government spending on health and aged care rises. By contrast, people in their prime working years make the largest net contribution to the budget through higher workforce participation and tax payments.

This reinforces the importance of lifting productivity growth, both to support living standards and to help meet rising spending pressures without placing an ever-greater burden on the working-age population.

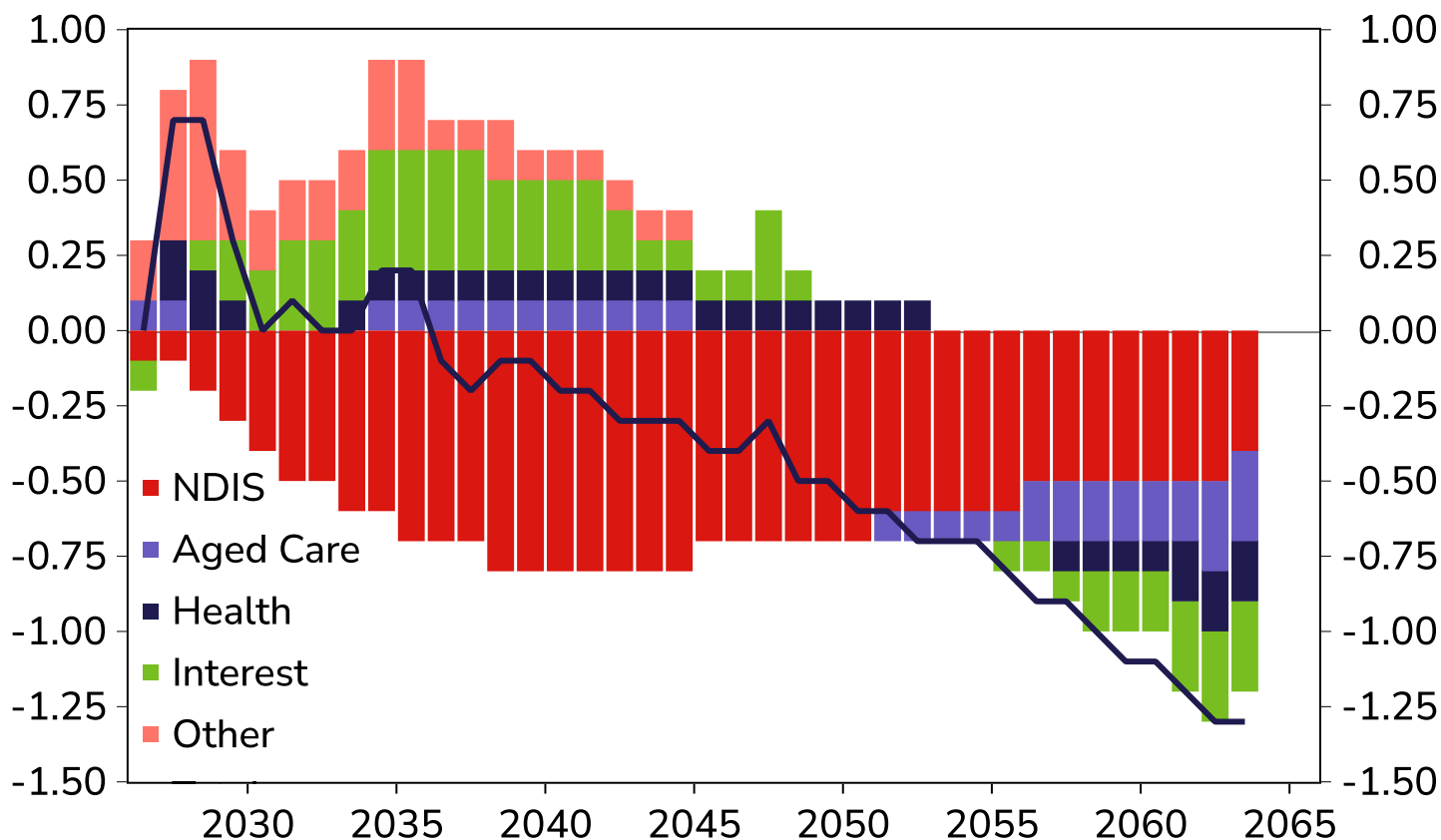
3. NDIS reforms are crucial to budget sustainability, but knock on to state budgets

The IGR highlights just how significant the NDIS reforms are for the fiscal outlook. Without the reforms, payments would be around 1 percentage point of GDP higher over the medium term. The savings are substantial and reinforce the importance of full implementation, a point we have previously made ([2026–27 Australian Federal Budget](#) | [Westpac IQ](#)).

The report focuses on the Commonwealth budget, but the implications for state budgets could also be significant. To the extent that some costs are shifted to states, a complete assessment of the reforms requires a consolidated national fiscal perspective.

Changes in payments relative to 2023 IGR

Ppts of GDP



Source: 2026 IGR, Macrobond, Westpac Economics

4. Bracket creep has its limits, and future spending will need to be funded elsewhere

Personal income tax receipts are projected to rise from 12.3% of GDP in 2025-26 to 14.1% of GDP by 2065-66, even with the Government capping tax as a share of the economy.

This highlights a structural challenge. As Australia ages, an increasing share of government revenue will come from a relatively smaller working-age population, while the share of indirect taxes continues to decline.

The IGR argues that relying ever more heavily on labour income taxation is unlikely to be a sustainable long-run solution. Future governments may therefore need to look elsewhere for revenue growth. This could include reforms to indirect taxes, particularly as fuel excise revenues come under pressure from the transition to electric vehicles.

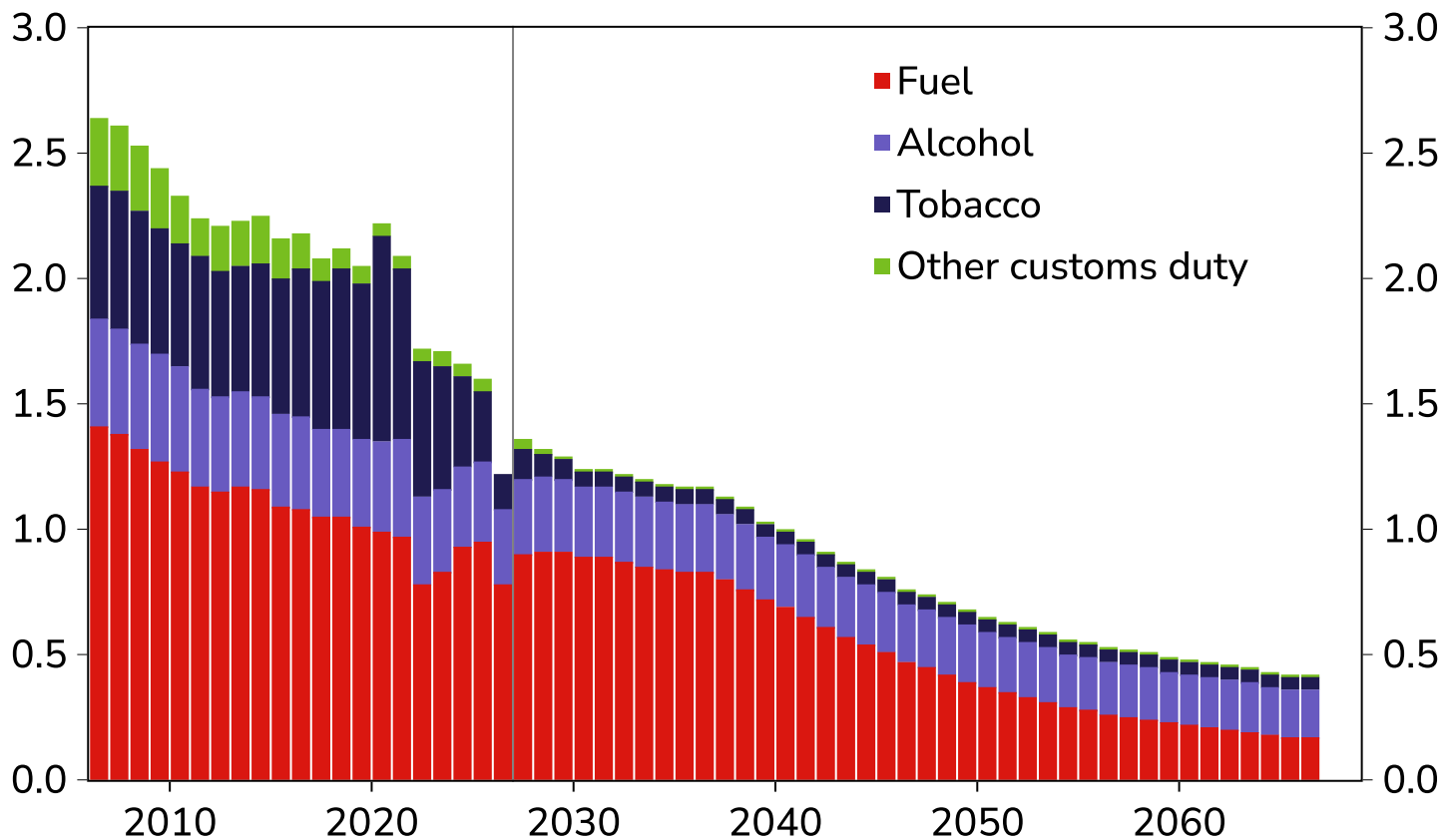
The report reinforces the need to modernise the tax base as activity shifts towards digital services and intangible consumption. The revenue challenge is material, with the erosion of indirect tax bases potentially amounting to close to 1ppt of GDP over coming decades, on top of the effective loss of tobacco excise in recent years.

The terms of trade are assumed to remain broadly unchanged from their 2027-28 level, underpinning

company tax receipts. This bakes in the sharp near-term decline in iron ore prices that has been assumed in every budget for more than a decade without eventuating. Despite this, the longer-run trajectory is increasing uncertain as the world transitions towards net zero.

Excise and custom duty receipts

% of GDP



Source: , Macrobond, Westpac Economics

5. Higher costs of capital here to stay

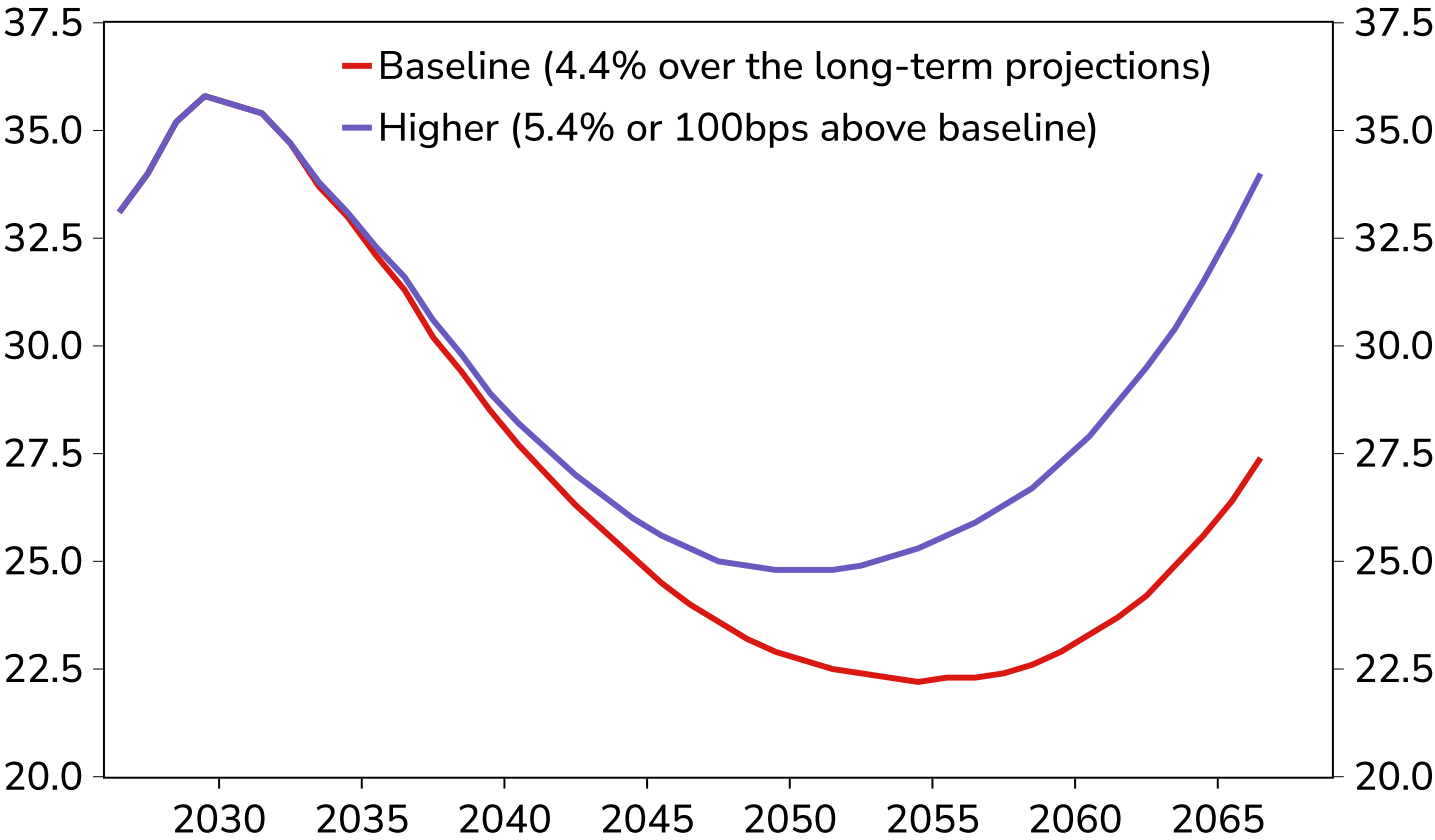
We have long argued that the era of ultra-low interest rates is unlikely to return. The 2026 IGR reinforces this view. Despite an improved fiscal position and lower projected debt than in the 2023 IGR, interest payments are projected to be higher because government borrowing costs are assumed to remain elevated relative to the post-GFC period.

Total interest payments are projected to rise from 0.9% of GDP in 2025–26 to 1.6% of GDP in 2032–33 before easing to 1.2% of GDP by 2065–66. Importantly, the primary cash balance (excluding interest payments) is projected to remain in surplus until the mid-2050s. In other words, the budget is projected to be in deficit largely because of the growing cost of servicing debt, rather than an underlying imbalance between government revenues and expenditures.

The IGR's sensitivity analysis highlights how important borrowing costs are for the fiscal outlook. If bond yields average 5.4 per cent, broadly in line with current levels, the underlying cash deficit would be around 0.5 percentage points of GDP larger and gross debt would be 6.6 percentage points of GDP higher by 2065-66.

Impact of yields on gross debt

% of GDP



Source: , Macrobond, Westpac Economics

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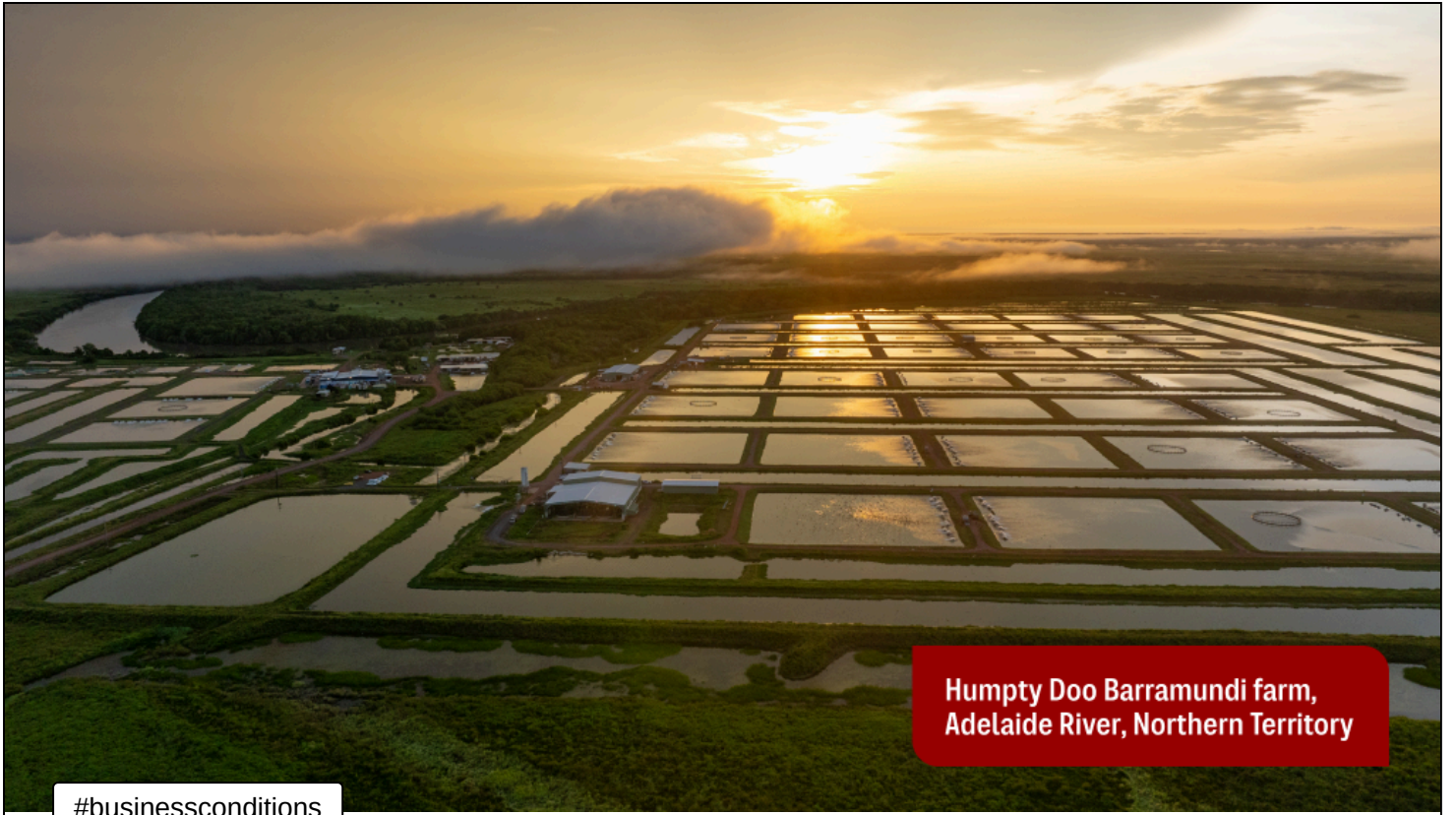


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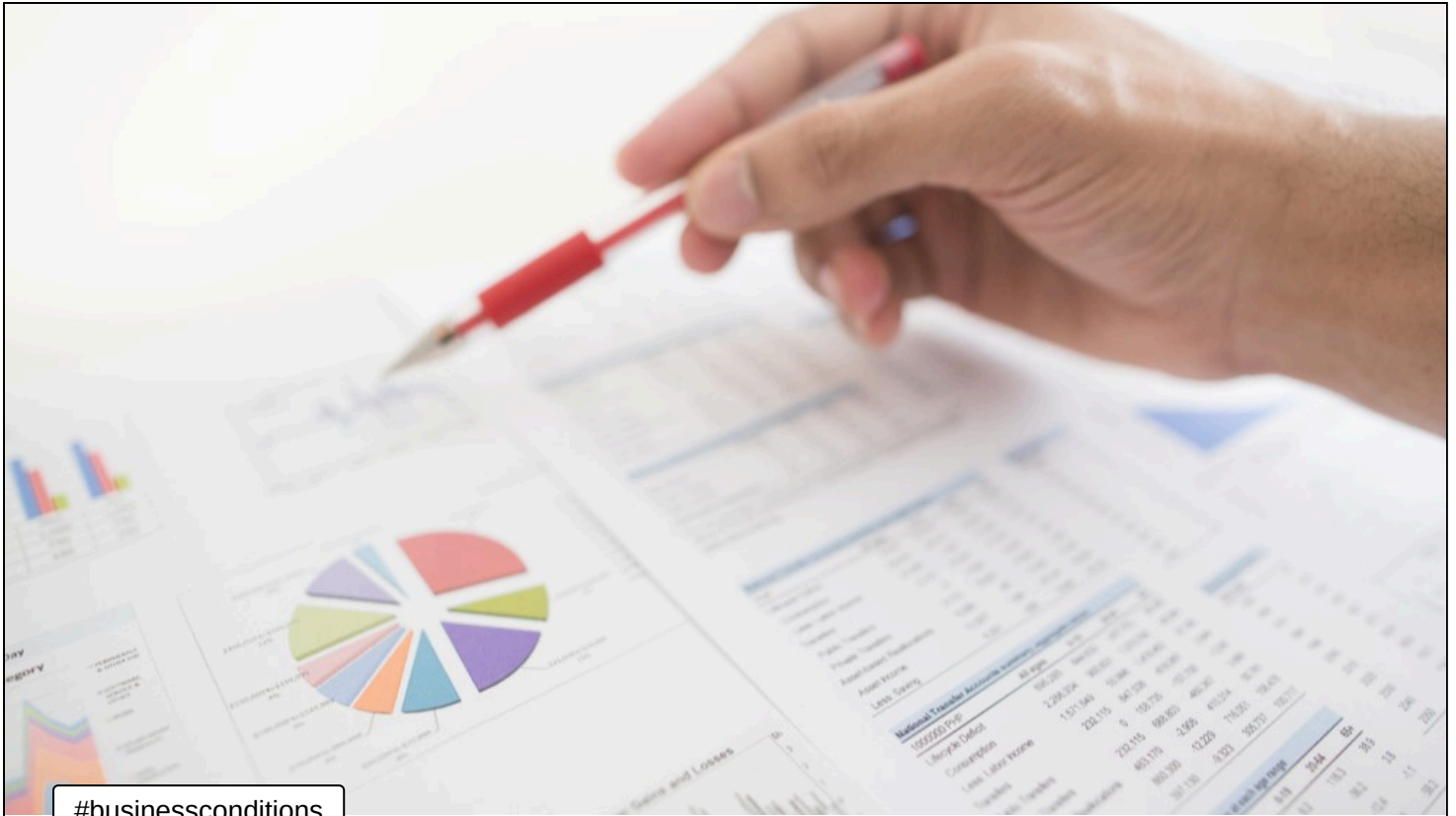
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